

Policies

Fiscal policy

Fiscal policy involves the use of government spending and tax policies to influence the aggregate demand in order to achieve any specific goal set by the government e.g. reducing the rate of inflation, increasing the unemployment level and so on.

Fiscal policy has two possible roles. The first is to remove any severe deflationary or inflationary gaps. In other words, expansionary fiscal policy could be used to prevent an economy experiencing a prolonged recession. Likewise, deflationary fiscal policy could be used to prevent rampant inflation. To summarize: this first role is to prevent the occurrence of fundamental disequilibrium in the economy.

The second role is to smooth out the fluctuations in the economy associated with the business cycle. This involves reducing government expenditure or raising taxes when the economy begins to boom. This will dampen down the expansion and prevent 'overheating' of the economy, with rising inflation and deteriorating balance of payments. Conversely, during the recession, as the problems of unemployment and the declining output get worse, the government should cut the taxes or raise government expenditure in order to boost the economy.

An expansionary fiscal policy raising government expenditure and/or lowering taxes, which will have the effect of either increasing the budget deficit or reducing the budget surplus. A budget deficit in any one year is where the central government's expenditure (including benefits) exceeds its revenue from taxation. A budget surplus is where tax revenues exceed government expenditure.

To finance the deficit, the government will have to borrow which is called public sector borrowing requirement (PSBR). It can do this by borrowing from the Bank of England, by issuing National Saving Certificates or by selling government securities. There are two types of government securities: Treasury bills and government bonds. Treasury bills are short term loans to the government (three months). Bond is long term loans. At the end of the loan period, the government redeems the securities at their face value. To persuade people to buy these securities, the government has to pay interest on these securities, so the government sells them at a price lesser than the redemption value. The budget deficit refers to the debt that the government incurs in one year. If the government runs persistent deficits over many years, these will accumulate. The accumulated debt is known as the national debt. The national debt is not the same as the country's overseas debt. Usually, only a small part of the national debt is owned overseas and most of the national debt is owed to the domestic citizens. In other words, governments finance their budget deficits mainly by borrowing at home and not from abroad.

If the public sector runs a surplus, it will be able to repay some of the public debts that have accumulated from previous years. This is called public debt repayment (PSDR)

Fiscal stance: The government's fiscal stance refers to whether it is pursuing an expansionary or contractionary fiscal policy. The mere existence of a deficit or a surplus therefore tells us very

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little about whether the economy will expand or contract, in fact it is the effect on AD which is relevant. This will depend on two things.

1. The previous level of deficit: If the deficit this year is lower than last year, then (ceteris paribus) aggregate demand will be lower this year than last. The reason is that either government expenditure must have fallen, or tax revenues must have increased, or a combination of the two.
2. Changes in other components of AD: Government expenditure is only one of the three injections into the circular flow of income. Tax is only one of the three withdrawals. If one of the their injections or withdrawals changes, then this will affect the size of the public sector deficit or surplus required to achieve any given level of national income.

Automatic fiscal stabilizers: The size of the public sector deficit or surplus will automatically vary according to the level of national income. The effect of this will be to reduce the level of fluctuations in the national income without the government to take any deliberate action. Increase in revenue and a fall in social security benefits with the increase in national income are called as automatic stabilizers. They have the effect of reducing the size of the multiplier. They therefore reduce both upward and downward movements of national income. The higher the mpt (marginal propensity to tax), the smaller the multiplier and hence the bigger the stabilizing effect of the taxes and benefits.

Automatic stabilizers cannot prevent fluctuations. They merely reduce their magnitude. If there is a fundamental disequilibrium in the economy or substantial fluctuations in other injections and withdrawals, the government may choose to alter the level of government expenditures or the rates of taxation.

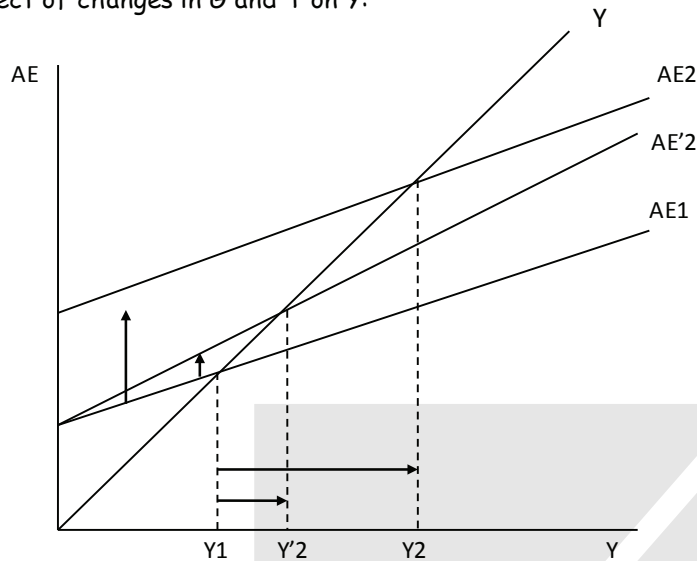
Discretionary changes in taxation or government expenditure, as well as being used to remove inflationary or deflationary gaps, are also used for their purposes, include the following:

1. Altering aggregate supply: The tax system may be altered so as to provide more incentives. It is argued that it will encourage more investment, more initiative and more risk taking. Government expenditure may be direct into building up the infrastructure of the economy or into providing grants for research and development or the training of labor.
2. Altering the distribution of income: Government transfer payments and taxation are major weapons in redistributing incomes from rich to the poor.

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Effect of changes in G and T on Y :



If government expenditure on goods and services (roads, health care, education etc) is raised, this will create a full multiplied rise in national income. The reason is that all the money gets spent and thus all of it goes to boosting aggregate demand. Cutting taxes by \$1m will have smaller effect on national income than raising government expenditure on goods and services by \$1m. The reason is that cutting taxes increase people's disposable income, of which only part will be spent. Part will be withdrawn into extra savings and imports. In other words not all the tax cuts will be passed on round the circular flow of income as extra expenditure.

In the figure an increase in government expenditure by a given amount, say by \$1m cause the AE curve to shift upwards from AE1 to AE2 and NI to increase from Y_1 to Y_2 . There is a full multiplied effect on national income. On the other hand a decrease in tax rate by some proportion required to increase the real disposable income by same amount i.e. \$1m, will lead to a less than \$1m of consumption expenditure on domestic output depending on the marginal propensity to consume out disposable income. This will pivot the AE curve from AE1 to AE'2 causing the RNI to increase from Y_1 to Y'_2 which is less than the increase in RNI when in the case of increase in government expenditure.

Fiscal policy and crowding out: *An expansionary fiscal policy may not result in the desired increase in the real national income. A fall in other components of AE due to an initial increase in government expenditure reduces the multiplier effect on RNI.*

TABLE 11-6. Fiscal Expansion and Crowding Out

(1)	(2)	(3)	(4)
Higher government spending or lower taxes raise output and income	Higher income raises desired real money balances	Higher real money demand and an unchanged supply lead to higher interest rates	Higher interest rates crowd out investment and thus dampen the expansion

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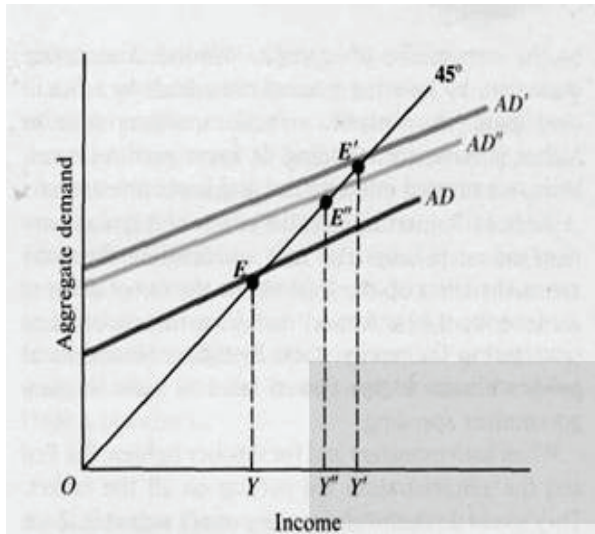


FIGURE 11-10. Crowding Out. Increased government spending shifts the aggregate demand schedule upward at each level of income from AD to AD' . Other things equal, the economy would move to point E' with income level Y' . But the rise in income raises money demand. With an unchanged money stock, there is excess demand for money, and interest rates increase. The rise in interest rates in turn reduces investment spending. This is shown by a downward shift of the aggregate demand schedule from AD' to AD'' . The new equilibrium, taking into account adjustments in the money market, is therefore at E'' . Fiscal policy with a constant money stock is less expansionary than it would be if the money stock were adjusted to keep interest rates constant.

If the government expenditure is financed in such a way as to allow money supply to expand to M' there will be no change in interest rate and hence no crowding out.

The effectiveness of automatic stabilizers: Automatic stabilizers can never be the complete answer to the problems of fluctuations. Their effect is merely to reduce the multiplier - to reduce the severity of fluctuations, not to eliminate them altogether. In addition, they tend to suffer two specific drawbacks: adverse effects on aggregate supply and the problems of fiscal drag.

Adverse supply side effects: High tax rates may discourage effort and initiative. The higher the marginal propensity to tax, the greater the stability provided by the tax system. But higher the tax rates are, the more likely they are to create a disincentive to work and to invest, people may prefer to work less and substitute leisure for income.

The problem of **fiscal drag**: Automatic stabilizers help to reduce upward and downward movements in national income. This is fine if the current level of income is the desirable level. But during a deep recession in the economy, with mass unemployment, the economy needs to grow fast and the national income needs to increase rapidly.

In these circumstances, if the economy began to recover, the automatic stabilizers would act as a drag on the expansion which is known as fiscal drag. By reducing the size of multiplier, the automatic stabilizers reduce the magnitude of the recovery. Similarly they act as a drag on discretionary policy: The more powerful the automatic stabilizers are, the bigger the change in G and T that would be necessary to achieve a given change in national income.

Another problem in forecasting the effects of fiscal policy is that a change in taxes, by changing people's real disposable income, will change not only the amount they spend but also the amount they save. The problem is that it is not easy to predict just how much people will cut down on their spending and how much on their saving. In part it will depend on whether people feel that the rise in

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tax is only temporary, in which they may well reduce the amount they save in order to maintain their level of consumption.

The structure of taxes

1. **Progressive taxes:** A tax is progressive when it takes a greater percentage of income from the higher income groups than it does from the lower income groups. As taxable income increases, the increments become subject to higher rates of taxation; in other words, the marginal rate of taxation is higher than the average rate. E.g. income tax, these are direct taxes.
2. **Regressive taxes:** Taxes are regressive when the poor are called upon to make greater sacrifices than the rich. Flat rate taxes such as the excise duties on tobacco, beer, and petrol act regressively since the amount of tax included in the prices of these goods represents a greater percentage of incomes of the lower paid groups. These are indirect taxes.
3. **Proportional taxes:** A tax is proportional when all taxpayers pay the same percentage of their income or wealth.

The economic effects of taxation

1. **On distribution of income:** Taxes will reduce the disposable income of firms and household. When the tax is progressive, the incomes remaining after tax must be less unequally distributed than income before tax. Only proportional tax would leave the distribution of income unchanged. Indirect taxes also affect the distribution of income. The commodities which are subject to heavy taxation are widely consumed and have diamonds which are inelastic with respect to price. Since the lower income group tends to spend a greater proportion of their incomes on some of these commodities the effect of the taxes can be regressive; for e.g. there is evidence that the tax on tobacco is regressive; it takes a higher proportion of the income from the poor than the rich. It appears, in fact, to be getting more regressive because tobacco consumption has fallen among higher income groups. On the other hand the tax on alcohol seems to act progressively. The higher income groups consume relatively more wines which are subject to higher rates of tax.
2. **On consumption:** Direct and indirect taxes will affect both the total pattern of consumer spending. Direct taxes reduce disposable income, but the effect on consumption will depend upon the propensity to consume and the level of saving. If there is very little saving, direct taxes must reduce consumption. If, however, taxpayers are enjoying a relatively high standard of living which enables them to save, an increase in direct taxes may have relatively little effect on consumption. People may resist any cut in their living standards by reducing saving rather than spending.
Indirect taxes will also reduce the total demand for goods and services, especially where they are imposed on commodities with inelastic demand. Consumers will tend to maintain their consumption of the goods and so they will have to less to spend on other goods and

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services. Again, much depends upon the propensity to consume and the existing level of saving.

Monetary policy

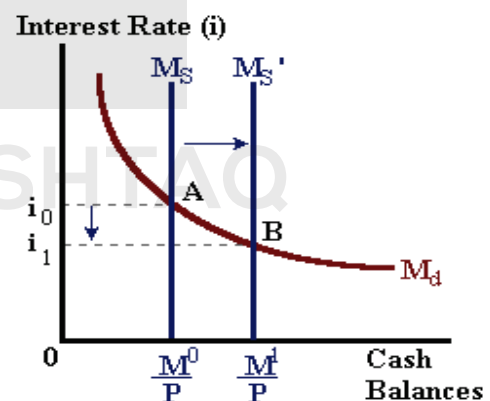
Monetary policy refers to the attempts to manipulate either the rate of interest or the supply of money so as to bring about desired changes in the economy. The aims of monetary policy are the same as those of the economic policy in general. They are the maintenance of full employment, price stability, a satisfactory rate of economic growth, and balance of payments equilibrium.

In the 1980s, attention was focused on monetary policy following the monetarist view of the control of the money supply is probably the most important instrument for regulating total demand in the economy.

The greater part of the money supply consists of the bank deposits and that a large part of these deposits come into being as a result of bank lending. Total spending is very much influenced by the spender's ability to borrow from the banks either directly loans or overdrafts, or indirectly through credit schemes. Any attempt to control money supply therefore must be directed as controlling the bank's ability to lend or to influencing firm's and household's willingness to borrow. Banks' ability to lend depends upon the suppliers of liquid assets and some instruments of monetary policy are designed to act directly on the bank's supplies of these assets. But the willingness and ability to spend does not depend solely on the availability of bank credit- the price of that credit is also important. Even the banks are willing and able to provide loans; some potential borrowers may not be persuaded to take up the bank loans if the rate of interest is so high that the prospective profits from the use of loan, or the satisfactions from spending it on consumption are lower than the cost.

The instruments of monetary policy:

The rate of interest: The approach to monetary control today in many countries is to focus directly on interest rates. Normally an interest rate changes will be announced, and then open market operation will be conducted by the central bank to ensure that the money supply is adjusted so as to make the announced interest rate the equilibrium one.



Open market operations: An **open market operation** (also known as **OMO**) is an activity by a central bank to buy or sell government bonds on the open market. A central bank uses them as the primary means of implementing monetary policy. The usual aim of open market operations is to control the short term interest rate and the supply of base money in an economy, and thus indirectly control the total money supply. This involves meeting the demand of base money at the target interest rate

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by buying and selling government securities, or other financial instruments. Monetary targets, such as inflation, interest rates, or exchange rates, are used to guide this implementation.

When the central bank wishes to see expansion of bank lending it will enter the market and buy securities, making payments for them with cheques drawn on itself. The sellers of these securities pay the central bank's cheques in to accounts at the commercial banks. The banks now hold claims on the central bank which will settle its indebtedness by crediting the outstanding amounts of the bankers' deposits. An increase in bankers' deposits at the central bank amounts to an increase in the liquid asset ratio. The banks will be able to expand their total lending by a multiple of the increase in their liquid assets.

Funding: Although open market operation may be successful in changing the banks' liquid asset ratio, they will not be effective instruments for restraining bank lending when the banks are holding surplus of liquid assets

Rather than focusing on controlling the monetary base, an alternative is for the central bank to attempt to alter the overall liquidity position of the banks. An example of this approach is a change by the central bank, in the balance of funding the national debt. Funding is a way of reducing the supplies of liquid assets available to the banking system. The policy requires the central bank to change the structure of the national debt by issuing more long-term securities and fewer short-term securities (treasury bills). This operation will make the banks vulnerable to open market operations, because treasury bills are liquid assets and long term securities are illiquid assets.

Minimum reserve ratio: If the banks are required to maintain a statutory minimum reserve ratio and if the central bank is free to alter this ratio, it can use it as a means of controlling the money supply. It does it by affecting not the monetary base, but the size of the bank of banks multiplier. Assume that banks are required to maintain a minimum 10% cash ratio. The banks multiplier is thus $1/10\% = 10$. Assume that the banks' total assets are \$100bn, of which \$10bn are cash and \$90bn are loans. But if cash ratio is increased, this means that bank need to keep its deposits in cash or liquid more than earlier, leads to decrease in the lending.

The quantity theory of money: A simple illustration of the controversy over the effects of monetary policy on aggregate demand is provided by the quantity theory of money. One version of the theory is expressed in the following equation.

$$MV = PT$$

Where M is the supply of money, T is the quantity of national output sold in a year i.e. transactions, P is the average level of prices, and V is the income velocity of circulation (the number of times money is spent on the national output in a year).

PT is thus the money value of national output sold. MV is the total spending on national output and therefore must equal PT. The above equation is true by definition; MV is necessarily equal to PT

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because of the way the terms are defined. What a change in M does to P , however, is a matter of debate. The controversy centers on whether and how V and T are affected by the changes in the money supply.

The velocity of circulation (V): Monetarists argue that in the long run Y is determined totally independently of the money supply M . thus a change in money supply leaves Y unaffected and brings a corresponding change in expenditure. It claims that monetary policy over the longer run is an extremely powerful weapon for controlling aggregate demand PT .

Keynesian argues that V tends to vary inversely with M , but rather unpredictably. An increase in money supply will not necessarily have much effect on spending; instead people may simply increase their holdings of the idle speculative balances, with a corresponding decline in the speed with which the money circulates V .

The quantity of national output:

Monetarists argue that aggregate supply is vertical in the long run and therefore output T is determined independently of aggregate demand. Any rise in MV will totally reflected in a rise in prices P .

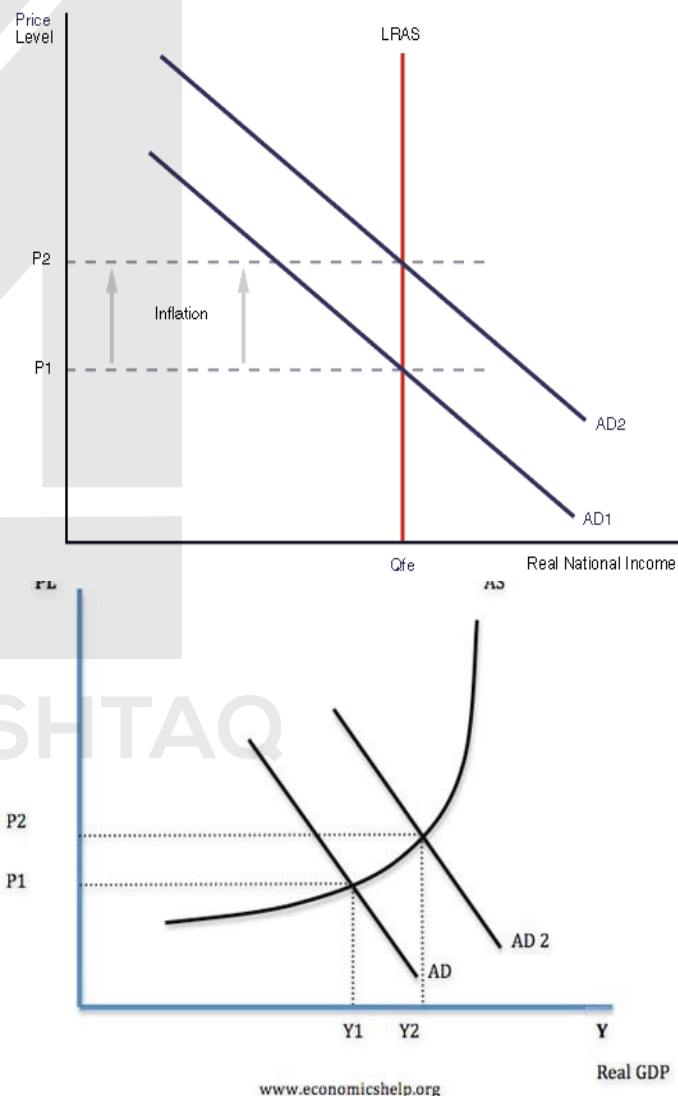
The stock of money therefore determines the price level and the rate of increase in the money supply determines the rate of inflation. In the long-run, control of the money supply will not affect output T and employment.

Keynes argues that aggregate supply is upward sloping except when full employment is approached. Thus T is variable and a contractionary monetary policy is likely to reduce T as well as P .

Monetary policy effect on aggregate demand: the traditional Keynesian transmission mechanism

Keynesian stress that transmission mechanisms are indirect: changes in money supply affect aggregate demand indirectly via changes in interest rates. Changes in money supply affect aggregate demand in three stages

1. A rise in money supply leads to a fall in the rate of interest



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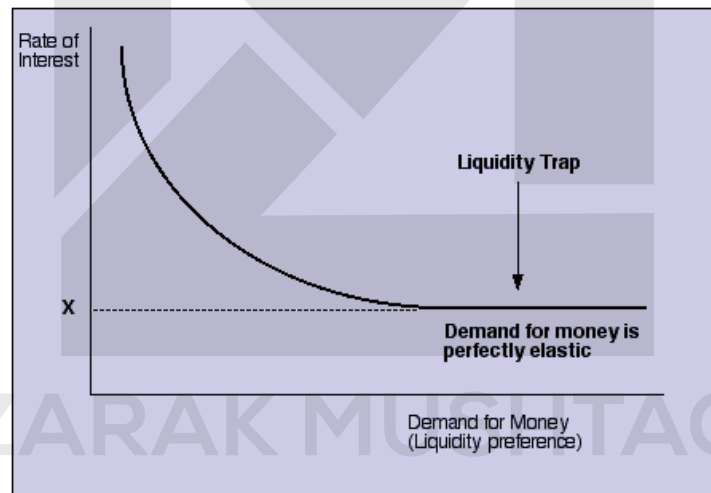
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2. A fall in the rate of interest leads to more investment and other interest sensitive expenditures
3. A rise in investments leads to a multiplied rise in national income.

Keynes argues that the speculative demand for money is very sensitive to the changes in the interest rate so the demand for money is sensitive to interest rates. The demand for money curve LP will be shallow and may even become horizontal at some minimum interest rate. This is the point where everyone believes that interest rate will rise and therefore no one wants to buy bonds. Everyone wants to hold their assets in liquid form.

With a very shallow LP curve a rise in the money supply will lead to only a small fall in the rate of interest. Once people believe that the rate of interest will not go any lower, any further rise in money supply will have no effect on rate of interest. The additional money will be lost in what Keynes called the liquidity trap. People simply hold the additional money as idle balances.

Furthermore, Keynes argued that investment was unresponsive to interest rate changes, so the investment curve is steep and weakly related with the rate of interest. In this situation a very large change in interest rate would necessary to have any significant effect on investment and on aggregate demand.



Monetarist argued that increases in MS have a large effect on aggregate demand because the LP curve is steep and investment is responsive to the changes in the interest rate; but that this increase in AD will simply be reflected in the long-run in higher prices; the AS is vertical.

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Supply side policy

The policies which are aimed at increasing aggregate supply are called supply side policies. These policies have important bearing on the major economic aims. Some of them are:

1. **Economic growth:** In order to achieve economic growth supply side policies focus on research and development, investment, education and training, industrial organization, work practices and the whole range of incentives that may be necessary to make optimum use of techniques. All these actions of the government ultimately lead to faster rates of economic growth.
2. **Unemployment:** Supply side policies can also be directed to reduce the level of unemployment in the economy. The cure for demand deficient unemployment may lie on the demand side, but other types of unemployment requires supply side solutions. Supply side policies aim to influence labor supply by making workers more responsive to changes in job opportunities. They may also aim to make employers more adaptable and willing to operate within existing labor constraints. Alternatively, they may seek to reduce the monopoly power of unions to drive real wages above the equilibrium.
3. **Inflation:** If inflation is caused by cost-push pressures, supply side policy can help to reduce it in three ways:
 - By reducing the power of unions and firms (e.g. controlling monopolies) and thereby encouraging more competition in the supply of labor and goods.
 - By preventing people from exercising that power by some form of prices and incomes policy.
 - By encouraging increase in productivity through the retraining of labor or by investment grants to firms or by tax incentives etc.

Monetarist approach to supply-side policy

Monetarists argue that demand side policy can only be used as a weapon against inflation, not to influence growth and employment in the long run. Supply side policy is the appropriate policy to increase output and reduce the level of unemployment.

Supply side policy can be used to shift the AS curve to the right: to increase the amount that firms wish to supply at any given price level.

Monetarist advocate policies to free up the market: policies that encourage private enterprise or provide incentives and reward initiative. The argument here is that a free market, with the absolute minimum of government interference, will provide the dynamic environment where entrepreneurs will be willing to take risks and develop new products and new techniques.

The Keynesian approach to supply side policy: Modern Keynesian does not just advocate the management of demand. They too advocate supply side policies but generally of a more interventionist nature (e.g. training schemes, or policies to encourage firms to set up in areas of

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high unemployment). The appropriate balance between demand and supply side policies depends on the degree of slack in the economy.

Market oriented supply side policies:

The essence of these supply side policies is to encourage and reward individual enterprise and initiative and to reduce the role of government; to put more reliance on market forces and competition, and less on government intervention and regulation. The policies are thus associated with the following:

1. Reducing government expenditure so as to release more resources for the private sector.
2. Reducing taxes so as to increase incentives
3. Reducing the monopoly power of trade unions so as to encourage flexibility in both wages and working practices and to allow labor markets to clear.
4. Reducing the automatic entitlement to certain benefits so as to encourage greater self-reliance.
5. Reducing red tape to increase investment and risk taking
6. Encouraging competition through policies of deregulation and privatization.

Reducing government expenditure: Monetarism is often associated with 'cuts'. The desire of monetarist to cut government expenditure is not just to reduce PSBR and hence reduce the growth of money supply; it is also an essential ingredient of the supply side strategy.

Tax cuts: the effects on labor supply and employment:

Cuts in the marginal rates of income tax are claimed to have five beneficial effects: work longer hours; more people wish to work; people work more enthusiastically; employment rises; unemployment falls.

Tax cuts businesses and other investment incentives: Market oriented policies seek to reduce the general level of taxation on profits or to give greater tax relief to investment. A cut in corporation tax will increase after tax profits. This means that more money will be available for ploughing back into investment and also that their after taxes return on investment will encourage more investment to take place.

Polices to encourage competition: If the government can encourage more competition, this should have the effect of increasing national output an employment. This can be done by transferring the inefficient public corporations to the private sector which will increase efficiency in the allocation of resources. Deregulation of the economy also increases the level of competition in the economy because it aims to remove the monopoly power from the economy.

Reducing welfare: Monetarists claim that a major cause of unemployment is the small difference between the welfare benefits of the unemployed and the take home pay of the employed. This

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causes voluntary unemployment people are caught in 'poverty trap': if they take a job, they lose their benefits. The solution of this problem would be to cut unemployment benefits.

With changing requirements for labor skills, many redundant workers from the older industries are simply not qualified for new jobs that are created. What is more, the longer people are unemployed, the more demoralized they become. Employers would probably be prepared to pay only very low wage rates to such workers. To persuade people to take these low-paid jobs, the welfare benefits have to be slashed. A market solution to the problem, therefore, may be very crucial solution. A fairer solution would be an interventionist policy; a policy of retraining labor.

Interventionist approach:

The basis of the case for government intervention is that the free market is likely to provide too little research and development, training and investment.

There are potentially large external benefits from research and development. Firms' investment in developing and improving products may produce results that provide too many other firms. Thus the social rate of return on investments may be much higher than the private rate of return. The extreme form of interventionist supply side policy is to nationalize the inefficient private firms and those which have higher external benefits because the market economy will under allocate resources. The government sponsor research and development in certain industries. It may encourage mergers and other forms for industrial reorganization that will lead to greater efficiency and higher level of investments. The government may also provide various information services to firm like, technical assistance, the results of public research, information on markets etc.

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